

SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER

	2017 Kshs '000	2016 Kshs '000
Operating income	582,338	527,164
Interest income	98,569	94,766
Other income	76,125	95,255
Total income	757,032	717,185
Administrative expenses	(500,170)	(487,291)
Share of profit of associate	12,324	3,221
Profit before taxation	269,186	233,115
Taxation charge	(52,936)	(49,159)
Profit for the year	216,250	183,956
Other comprehensive income	2,556	(202)
Total comprehensive income for the year	218,806	183,754
Earnings Per Share* - Basic and diluted (Kshs)	0.83	0.71
*Basic EPS based on weighted average no. of shares	259,500,791	259,500,791

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER

	2017 Kshs '000	2016 Kshs '000
Assets		
Non current assets	1,035,836	1,004,550
Current assets	1,072,384	1,009,195
Total assets	2,108,220	2,013,745
Equity and liabilities		
Share capital	1,038,003	1,038,003
Share premium	277,185	277,185
Retained earnings	694,049	547,852
Other reserves	(559)	(475)
Revaluation reserves	3,208	580
Non current liabilities	7,326	12,904
Current liabilities	89,008	137,696
Total shareholders' funds and liabilities	2,108,220	2,013,745

SUMMARY CONSOLIDATED STATEMENT OF CASHFLOWS FOR THE YEAR ENDED 31 DECEMBER

	2017 Kshs '000	2016 Kshs '000
Cash flows from operating activities		
Cash generated from operations	99,969	220,572
Tax paid	(29,789)	(24,641)
Net cash generated from operating activities	70,180	195,931
Net cash (used in)/generated from investing activities	(327,035)	347,091
Net cash used in financing activities	(66,474)	(92,375)
(Decrease)/increase in cash and cash equivalents	(323,329)	450,647
Cash and cash equivalents at start of year	479,359	28,712
Cash and cash equivalents at end of year	156,030	479,359

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED

	Share capital Kshs '000	Share premium Kshs '000	Revaluation & Other reserves Kshs '000	Retained earnings Kshs '000	Total Kshs '000
At 1 January 2016	778,500	277,185	319	718,753	1,774,757
Total comprehensive income for the year	-	-	(202)	183,956	183,754
Transfer of excess depreciation	-	-	(17)	17	-
Deferred tax on transfer of excess depreciation	-	-	5	(5)	-
Bonus issue	259,503	-	-	(259,503)	-
2015 dividend declared in the year	-	-	-	(95,366)	(95,366)
At 31 December 2016	1,038,003	277,185	105	547,852	1,863,145
Total comprehensive income for the year	-	-	2,556	216,250	218,806
Transfer of excess depreciation	-	-	(17)	17	-
Deferred tax on transfer of excess depreciation	-	-	5	(5)	-
2016 dividend declared in the year	-	-	-	(70,065)	(70,065)
At 31 December 2017	1,038,003	277,185	2,649	694,049	2,011,886

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF NAIROBI SECURITIES EXCHANGE PLC ON THE SUMMARY FINANCIAL STATEMENTS

The accompanying summary financial statements of Nairobi Securities Exchange Plc (the "Company"/NSE/the "Exchange") and its subsidiary and structured entities (together, the "Group"), which comprise the summary consolidated statement of financial position at 31 December 2017 and the summary consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, have been derived from the financial statements of Nairobi Securities Exchange Plc for the year ended 31 December 2017.

We have audited the financial statements of Nairobi Securities Exchange Plc for the year ended 31 December 2017, from which these summary financial statements were derived, in accordance with International Standards on Auditing. In our report dated 19 March 2018, we expressed an unqualified opinion on the financial statements from which the summary financial statements were derived.

For a better understanding of the Group's and Company's financial position and the results of its operations for the year and of the scope of our audit, the summary financial statements should be read in conjunction with the financial statements from which the summary financial statements were derived and our audit report thereon.

The directors are responsible for the preparation of these summary financial statements.

Our responsibility is to express an opinion on the summary financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810, 'Engagements to report on summary financial statements'.

In our opinion, the accompanying summary financial statements are consistent, in all material respects, with the financial statements from which they were derived.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Richard Njoroge – P/No 1244.

Richard Njoroge

Certified Public Accountants
Nairobi, Kenya

19 March 2018

Explanatory Notes

The above summary financial statements are extracts of the audited financial results of the Group which comprises the Nairobi Securities Exchange (NSE) Plc, the subsidiary NSE Clear Limited, the structured entities, the NSE Derivatives Settlement Guarantee Fund and NSE Derivatives Investor Protection Fund and the interest of the NSE in an associate company. The accounting policies used in preparing these audited financial statements are consistent and should be read in conjunction with those used for the annual financial statements for the year ended 31 December 2017.

ECONOMIC AND BUSINESS REVIEW

The global economy improved to 3.7% at the end of 2017 on the backdrop of improved performance in the US, Euro and broad Asian economies. In Kenya we witnessed a prolonged drought, heightened political activity and slow credit growth that led to a declining economic performance which stood at 4.8%.

Despite the challenging environment that impacted on the performance of some of the listed companies, the Group performed well recording a growth in profit after tax of 18% from Kshs 184 million in 2016 to Kshs 216 million in 2017. This performance was as a result of improved trading in the bond and equity markets which registered a growth of 1 % and 17% respectively.

The year also witnessed the milestone launch of new products - the M-Akiba retail bond and the first Exchange Traded Fund in region. This is an attestation of the Exchange's commitment to innovation and the development of the capital markets.

The Group also prudently managed its costs during the year through optimization and automation of its processes, which led to a marginal decrease in costs of 2% leading to an improved cost to income ratio of 66% from 68% in 2016.

Our total assets grew by 5% from Kshs 2.0 billion in 2016 to Kshs 2.1 billion in 2017 as a result of improved profitability.

The Group's performance ratios were on a positive trajectory with a return of assets at 10.4% and return on equity at 11%.

OUTLOOK FOR 2018

Our outlook for 2018 is positive driven by a good macro-economic environment, improved rainfall and increased infrastructure investments. In line with this, the Group will continue to focus on delivery on its 2015 - 2019 strategy which is also in line with our aspiration of stimulating and supporting a vibrant and growing capital market in Kenya.

Product development remains a key strategic objective for the Group and we intend to launch the derivatives market this year. This will facilitate the trading of futures contracts across a variety of asset classes in the Kenyan market.

The Exchange is witnessing increased interest from potential issuers seeking listing and alternative funding options; and our business development initiatives will be centered on working with our partners in the industry to realize these opportunities. We will maintain our focus on increasing the activity in equities and fixed markets through engagement with local and international investors as well as promote the awareness of our newly introduced products including the exchange traded funds and real estate investment trusts.

We are in the process of upgrading our equities trading platform to enhance our availability, support the growth of new products and strengthen our surveillance capacity. We undertake to deliver innovation to our stakeholders and provide a robust infrastructure for trading of capital market securities.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of the Nairobi Securities Exchange Plc will be held on May 30, 2018 at the Kenyatta International Conference Centre (KICC).

DIVIDENDS

The Directors recommend the payment of a first and final dividend for the year 2017 of Kshs. 0.30 per ordinary share (2016 - Kshs. 0.27 per share). The dividend is subject to shareholders' approval at the Annual General Meeting. The payment is subject to withholding tax, where applicable and will be paid by 30 July 2018 to members on the register at the close of business on 30 May 2018. Accordingly, the register of members will remain closed for one day on 31 May 2018 for preparation of dividend warrants.

MESSAGE FROM THE DIRECTORS

These are extracts from the financial statements of the Group which have been audited by PricewaterhouseCoopers and have received an unqualified opinion. A full set of these financial statements will be availed at our registered office at The Exchange, 55 Westlands Road and online at www.nse.co.ke for inspection after approval by shareholders at the Annual General Meeting.

The financial statements were approved and authorised for issue by the Board of Directors on 19 March 2018 and were signed on its behalf by:

Mr. Samuel Kimani
Chairman

Dr. Winnie Nyamute
Director

Samuel Kimani

Winnie Nyamute

Mr. Geoffrey O. Oundo
Chief Executive

Geoffrey O. Oundo

17%

Increase in equity turnover



18%

Increase in Profit for the year



11%

Increase in Dividends

